

NO PINK SLIP

But Hiring Under Scrutiny

Times may seem challenging but the employment scenario in the Indian electronics industry is not as gloomy as in the rest of the world

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Job seekers in the Indian electronics industry can heave a sigh of relief. A steady recruitment trend is predicted for the near future, based on the insight gained from last month's salary survey by EFY research bureau. Although the pink slip syndrome is increasingly evident in most industries—prominent among them being financial services, retail and aviation—it's not widespread in the electronics industry so far.

The net employment outlook (the difference between the percentage of respondents reporting an increase in hiring and those expecting a decline) stands at 18 per cent for the next three months of 2009. In the worst-case scenario, some firms have resorted to a hiring freeze. And that in itself was a significant step in this industry,

as companies were piling up resources at all levels till as late as the third quarter of 2008.

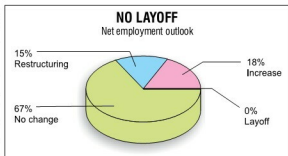
A sizable domestic demand and a savings-based economy of the country help position electronics as one of the few industries poised for moderate staffing growth in 2009 in spite of the global slowdown.

No hire-and-fire

Electronics firms in India primarily do not believe in the hire-and-fire policy. None of the interviewed companies had retrenchment in mind. Around 15 per cent of respondents planned to re-structure their organisation and re-deploy the existing staff. They intended to achieve this by building multi-tasking skills among their workforce.

Firms typically use the following filters while planning restructuring:

1. Is the role required any longer? Restructuring often results in some roles becoming redundant and not required any more.
2. Is the current employee the best fit for the role? As profiles often change after revamp, existing personnel may not be the best fit for the role.
3. Has the employee performance been up to the mark?



A sagging economy can be a good time for the management to deal with performance problems.

Restructuring rarely affects talented and hardworking employees. It is vital, however, that companies identify high-performing employees as they are an asset to the firm and of immense value not only in surviving the downturn but also in pushing the firm to greater heights when the economy picks up again. Hiring new staff and subsequent training is also time-intensive. Firms that plan ahead their workforce requirement can gain a competitive advantage over their peers when the economy picks up in the future.

"The corporate environment has become competitive and employees are the sole differentiating factor that separates a good organisation from an average one"—opines Parag Mehta, managing director of Relaytronics.

The recession not only aids in sifting grain from chaff in terms of employee quality but can also serve the same purpose with respect to employers as well. This, no doubt, affects the image of the firm as well. A stable company in a recession indicates efficient internal processes and a clear vision concerning the road ahead. When

